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MESSAGE FROM THE CHAIRMAN

It is impossible to imagine a world without electronics. The products of the industry touch the lives of every one everyday. The continuous "Electronics Revolution" has spawned a myriad of products which help defend our country, entertain us, help us run our business, help inform us, allow us to communicate person to person, coast to coast and around the world.

The electronic content of many products - from autos to missiles - makes them more intelligent, more useful and more exciting. No other industry has a greater impact on our daily lives.

We have the privilege to belong to this industry - which is going through an exciting phase in terms of production, introduction of new technology and export. The present production of $ 5 billion is slated to reach $ 30 billion and present export of $ 1.2 billion to $ 8 billion by 2000 - 2001.

With the entry of multinationals, the volume and range of production is likely to be even higher than projected above. We are, therefore, visualising an exciting future. We can take an active part in this exciting future, provided we realize that there is a hard road to success but it is an assured road to success; that there is need for a long term policy for export and we can not succeed by "fly by night" approach; that we have constantly to improve the quality of our products; that we have to adopt good business practice.

It is a matter of satisfaction that more than 30 software companies have obtained the prestigious ISO 9000 Certification and many more are due to acquire it soon. In the field of Electronics Hardware more than 100 companies have obtained the ISO 9000 Certificates. In the present competitive world, the only way in which Indian Electronics and Software companies can stand up and face boldly the global competition is through adherence to quality - not only in the normal sense of design, finish and performance but also in the sense of timely delivery, after sale service and consumer satisfaction. Exposure of Indian industry to foreign competition in the domestic market should provide necessary stimulus to all round attention to quality improvement and thus be able to face the competition in the world market.

M. L. TANDON

FROM THE EXECUTIVE DIRECTOR

India's external debt at the end of March, 1995 is estimated at US$ 99.04 billion as against US$ 92.70 billion on March 31, 1994, thereby indicating an increase of US$ 6.34 billion in 1994-95. We are thus a large borrower. The privilege of largest borrower goes to Brazil - followed by Mexico. We are third. Indonesia is next followed by China and Russia. Two things are important. The rate of interest and the period of maturity. In both, we have an edge over others. A major part of the debt is from international institutions which are at concessional rate and maturity period is also very long.

What is more relevant is capacity of the country to repay the debt and interest charges. The repayment capacity depends on foreign exchange earnings, i.e. exports. The critical measure is the ratio of debt servicing to exports. Although China and Russia are large borrowers - as large as us - the debt service ratio is less than 12 per cent. Our debt service ratio is 28 per cent. This is because when, last year, our exports were $ 26 billion China's exports were $ 102 billion. Government have planned to increase the level of export to $ 75 billion by the end of the century by which time our debt service ratio is expected to drop to less than 15 per cent.

It is in this background that we laud the efforts of those electronics and computer software exporters who have registered outstanding export performance and have earned awards. We wish them success in coming years also.

R. H. NAQVI